Performance Appraisal and Review Policy

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Version: 1

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Version	Date	Author(s)	Description	Approved by
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V2	21 June 2018	Anagha Upasani	Second Rollout	Prashant KS (MD)

Guidelines for Probation Clearance

All new Employees are considered to be on probation for a period of 90 days. At the end of 90 days, the employee is automatically deemed to be confirmed unless stated or communicated otherwise. During this period, the manager periodically reviews and assesses the new employee's performance and is expected to have a closure conversation in case the employee is not to be confirmed.

In case of non-clearance of probation period within the stipulated period of three months, the probation period may be extended by another 3 months. The probation cannot be extended beyond 6 months from the employee's date of joining. The line manager has to accordingly share the performance inputs with the reviewing manager and the HR Business Partner

In case of interdepartmental transfers, a renewed probation clearance is not applicable.

Timelines for Performance Review

The performance review cycle covers a period from 1st Jan to 31st Dec of the calendar year and the revised salary is effective from 1st April of the following year.

Employees joining on or before 30th September during the calendar year, would be eligible for salary review in the current year cycle on a pro-rata basis. Employees who have joined after 30th September will be eligible for a salary review during the subsequent year's cycle on a pro-rata basis.

All the employees who have joined on or before 30th September of the calendar year will be eligible for the bonus payout.

The Performance Review Philosophy

IDeaS believes in a continuous coaching and feedback model. The manager partners with the employee to get their performance goals and development plans reviewed on a frequent, ongoing basis. The focus is to make goal-setting agile, local and meaningful. Instead of using an annual review, IDeaS as an organization relies on regular check-ins. This in turn eliminates the need for annual ratings and focuses on coaching and development. The collective goal is to create a culture of recognition and use metrics and measurement at every stage.

The Performance Review Process

- All employees are expected to update their goals in Workday at the start of the calendar year or at the end of the probation clearance for new joiners.
- Managers are expected to be coaches for their team members and host frequent discussions on performance expectations and results
- There is no annual performance review “form” but the expectation to review all employees on a frequent basis continues to exist
- Managers take on a “coaching” role with employees and provide ongoing feedback on both the ‘what’ and the ‘how’ of the results.
- The continuous feedback will form an integral basis for the salary review process.

Promotion / Inter-Departmental Policy

Promotions and transfers are based on the number of open positions, individual performance and business needs and are not necessarily tenure bound.

They are based on factors of contribution, results and the employee’s ability to increase scope and impact.

Performance Improvement Process

In case of inconsistent or poor performance, an employee can be put on a performance improvement plan. The period of this plan is 45 days. Following are the steps in this process -

1. Detailed discussion and expectation setting with the employee by the immediate manager, reviewing manager and the HR BP.
2. Formal signing of the PIP form by the employee and the immediate manager.
3. Fortnightly reviews to monitor progress on assigned goals by a panel comprising immediate manager, reviewing manager, HR BP and any other relevant stakeholders.
4. The immediate manager, notwithstanding the Fortnightly reviews, should also closely monitor progress and provide support to the employee on a recurring basis.
5. If the employee voluntarily resigns before the closure of the PIP period, then all policies applicable to a voluntary resignation will apply.
6. At the end of the PIP period, in case there is no improvement in the performance or desired change, then the organization reserves the right to terminate the services of the employee with immediate effect on grounds of poor performance.
7. In such a scenario, payment in lieu of the one month notice period will be processed by the organization for the employee.
8. All other exit formalities like leave encashment and settlement of retirals will proceed as per the normal separation policy.

Performance issues post PIP:

On closure of PIP process, if the performance issues continue, within one year of the closure of the PIP, the reporting manager & HR will / can follow **either of the two** recommended corrective actions below, depending upon the severity of the issue.

Corrective Measures:

PIP Extension: The period for PIP Extension would not exceed 15 days and would be decided by the reporting manager and HR.

OR

Statutory Action:

- Step 1: Reporting manager & HR to inform the employee about the performance issues through a formal meeting and educate him / her. This will be treated as a first verbal warning for the first instance.
- Step 2: If the performance issue persists after the verbal warning, reporting manager & HR to issue a second written warning depending on the severity of the issue on the second instance. The subsequent instance would lead to termination of the employee.
- Step 3: If employee denies accepting the warning letter, then initiate the disciplinary action process against the employee based on the severity of the conduct.
- Step 4: during this process, if employee resigns, HR to work out with his/ her notice period as per the policy or depending on the business & individual needs.